

Middle East Defense Architecture

CENTCOM, Iron Dome, F-35, and the Regional Arms Race

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Executive Summary

The Middle East accounts for 9.0 per cent of global military spending in 2024, the fourth-largest regional share after the Americas, Europe, and Asia-Oceania [RAG: MILITARY_RAG — SIPRI: Trends in World Military Expenditure, 2024 (2025-01-01)]. The primary structural driver of this expenditure is the Iranian ballistic missile and drone threat, which has drawn the United States into sustained forward military deployments of missile defence assets — Patriot, THAAD, and BMD-capable naval destroyers — across the Gulf and Israel. Turkey has emerged as a materially significant alternative arms supplier, with Saudi Arabia, Qatar, Oman, and the UAE all purchasing Turkish drones and naval vessels CNA[2025-09-18]. Israel remains the most advanced developer of military drone systems in the region and sustains a layered air defence architecture that has been repeatedly tested under live operational conditions since 2024.

The central economic tension of the current threat environment is the cost-exchange asymmetry: interceptor missiles cost hundreds of thousands of dollars each, while the drone and missile systems they are designed to defeat cost a fraction of that CNA[2025-06-20]. This arithmetic has raised persistent questions about the sustainability of Israel's and the United States' interceptor inventories under sustained Iranian and Houthi attack.

Part I — US Missile Defense Posture: THAAD and Patriot in the Middle East

The United States deploys the Terminal High Altitude Area Defense (THAAD) system as the upper-tier component of a layered ballistic missile defence architecture, working in conjunction with the Patriot PAC-3 system. Patriot defends areas such as military bases and airfields against advanced aircraft, cruise missiles, and tactical ballistic missiles; THAAD and Patriot provide an integrated and overlapping defence against attacking missiles in the terminal phase [RAG: MILITARY_RAG — CRS: Defense Primer: U.S. Ballistic Missile Defense (2024-12-30)].

The US Army operates seven THAAD batteries, with an eighth scheduled for delivery in 2025. As of October 2024, four batteries are deployed in Guam, South Korea, the Persian Gulf, and Israel [RAG: MILITARY_RAG — CRS: Defense Primer: U.S. Ballistic Missile Defense (2024-12-30)]. In 2022, the United Arab Emirates used THAAD to intercept Houthi ballistic missiles — the first operational use of THAAD in a combat environment [RAG: MILITARY_RAG — CRS: Defense Primer: U.S. Ballistic Missile Defense (2024-12-30)].

To counter Iranian ballistic missile threats, the United States has employed Patriot, THAAD, and BMD-capable destroyers. The Department of Defense stated that its stockpile of Patriot interceptors

"remains extremely strong" prior to the February 2026 operations, though concerns about THAAD and broader interceptor inventories were raised by analysts and congressional researchers [RAG: MILITARY_RAG — CRS: U.S. Military Operations Against Iran: Munitions and Missile Defense (2026-03-12)].

Each THAAD interceptor is valued at approximately \$12.7 million, and a congressional research assessment noted it could take three to eight years to replenish the THAAD interceptor stockpile after intensive operational use [RAG: MILITARY_RAG — CRS: The Terminal High Altitude Area Defense (THAAD) System (2026-06-23)]. A Center for Strategic and International Studies study examined estimated inventories and production rates for BMD-capable interceptors including Navy SM-3 and SM-6 interceptors and Army THAAD and Patriot PAC-3 MSE interceptors, finding that as missiles have become weapons of choice, interceptor stockpiles face growing pressure [RAG: MILITARY_RAG — CRS: Navy Aegis Ballistic Missile Defense Program (2026-01-20)].

Operation Epic Fury (February 2026)

On February 26, 2026, the United States, in conjunction with Israel, launched Operation Epic Fury to "dismantle the Iranian regime's security apparatus, prioritizing locations that pose a" direct threat [RAG: MILITARY_RAG — CRS: The Terminal High Altitude Area Defense (THAAD) System (2026-06-23)]. The operation further depleted limited interceptor stocks. Six THAAD launchers from US Forces Korea that were deployed to the Middle East to support Operation Epic Fury in March 2026 returned to their bases in South Korea in June 2026 [RAG: MILITARY_RAG — CRS: The Terminal High Altitude Area Defense (THAAD) System (2026-06-23)]. As of March 2026, the Army was also working with the Missile Defense Agency on a plan to transfer THAAD to Army control [RAG: MILITARY_RAG — CRS: The Terminal High Altitude Area Defense (THAAD) System (2026-06-23)].

Part II — Israeli Air Defense: Operational Stress and Interceptor Sustainability

Israel has developed its missile defence systems over decades, giving it a structural advantage over states dependent on partner donations for air defence capability CNA[2024-04-19]. American naval destroyers and ground-based missile batteries have operated alongside Israeli air defence systems to defend against Iranian drone-and-missile strikes CNA[2025-06-20]. The fundamental operational question as of mid-2026 is how long Israel can withstand sustained Iranian campaigns given that interceptor missiles often cost hundreds of thousands of dollars, while the attacking drones cost a fraction of that — a cost-exchange ratio that favours the attacker CNA[2025-06-20].

As of March 2026, there were published reports that Israel was running low on missile interceptors. The Israel Defense Forces and Israel's foreign minister denied these reports, and the government did reportedly approve measures to address supply CNA[2026-03-17]. The finite nature of interceptor stocks — for both the United States and Israel — has become a central concern for congressional and analytical scrutiny [RAG: MILITARY_RAG — CRS: U.S. Military Operations Against Iran: Munitions and Missile Defense (2026-03-12)].

By June 2026, Israel and Iran continued to trade fire. Yemen's Iran-aligned Houthis pledged to stop Israel's maritime navigation in the Red Sea, and claimed responsibility for missile attacks on Israel following the ceasefire period, which caused Israel to activate aerial defence systems CNA[2026-06-08].

Israel-Greece Defence Cooperation

In January 2026, Israel and Greece formalised cooperation on anti-drone systems and cybersecurity. Greek Defence Minister Nikos Dendias confirmed the agreement after meeting Israel's Defence Minister Israel Katz in Athens on January 20, 2026 CNA[2026-01-20]. This represents an extension of Israeli air

defence and counter-UAS technology into European security architecture.

Part III — Iranian Threat: Missiles, Drones, and IRGC Capabilities

The Islamic Revolutionary Guard Corps (IRGC) remains central to Iran's military power. The ODNI's 2023 threat assessment assessed that Iran would seek to acquire new conventional weapon systems including advanced fighter aircraft, helicopters, and air defence systems, but that budgetary constraints and fiscal shortfalls would slow the pace and breadth of these acquisitions. Iran's missile, UAV, and naval capabilities were identified as growing areas of concern [RAG: MILITARY_RAG — ODNI Annual Threat Assessment 2023 (2023-02-06)].

The Iranian model has demonstrated operational effectiveness in two key domains. First, drone-and-missile strikes against energy infrastructure: following strikes on Iranian facilities (including the Fajr-e-Jam natural gas processing plant), Iran demonstrated willingness and capability to deploy coordinated drone-and-missile attacks against regional energy infrastructure CNA[2025-06-20]. Second, proxy network operations: Iranian-backed militias in Iraq have conducted drone attacks against US bases in the region, including the attack that killed three US service members in Jordan on January 29, 2024 [RAG: MILITARY_RAG — CRS: Department of Defense Counter Unmanned Aircraft Systems (2025-03-31)].

Part IV — Israeli Drone Capabilities and Regional Export Dynamics

Israel is a leading developer and manufacturer of military drones. Since the 1973 Yom Kippur War, Israel has used drones extensively for surveillance and targeted attacks. In 2021, drones constituted 9% of Israel's arms exports [RAG: CONFLICT_RAG — Institute for Economics and Peace / Global drone inventory data]. Israel's drone development enterprise extends to offensive operations: in June 2025, it was reported that the Mossad established drone bases inside Iran as part of preparations for the conflict between the two states [RAG: CONFLICT_RAG — Institute for Economics and Peace / Global drone inventory data].

The United Kingdom suspended some arms exports to Israel in September 2024. Foreign Secretary David Lammy stated that there was a "clear risk" some items could be used to "commit or facilitate a serious violation of international humanitarian law" CNA[2024-09-03].

Part V — Turkey's Growing Arms Market Presence in the Gulf

Turkey is rapidly expanding its influence in the global arms industry, with demand for its defence systems — particularly drones and naval vessels — coming from major Gulf importers including Saudi Arabia, Qatar, Oman, and the United Arab Emirates. Turkish arms exports are reshaping the regional defence landscape by introducing a new layer of complexity, both in capability terms and as a form of strategic hedging by Gulf states that have historically depended on US and European suppliers CNA[2025-09-18]. Southeast Asian states have similarly begun evaluating Turkish platforms, reflecting the broadening appeal of Turkish defence exports across multiple regions CNA[2025-09-18].

Part VI — Regional Military Expenditure

The Middle East accounted for 9.0 per cent of global military spending in 2024 [RAG: MILITARY_RAG — SIPRI: Trends in World Military Expenditure, 2024 (2025-01-01)]. Kuwait's military expenditure stood at 4.8% of GDP in 2024, placing it among the countries with the highest military spending as a share of

Conclusion

The Middle East missile defence architecture is under active operational stress. THAAD and Patriot systems have moved from demonstration deployments to sustained combat employment — first in the UAE against Houthi missiles in 2022, then in Israel from October 2024, and most intensively during Operation Epic Fury in early 2026. The depletion of interceptor stockpiles, the cost-exchange ratio favouring the attacker, and the transfer of six THAAD launchers from US Forces Korea to the Middle East theatre all point to a threat environment that is consuming US and Israeli defensive capacity at rates that raise serious sustainability questions. Against this, Turkey has emerged as a credible alternative supplier to Gulf states, reducing the US monopoly on advanced arms transfers to the region, while Israel continues to extend its drone warfare expertise both offensively and into new partnerships such as the January 2026 agreement with Greece.

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